

When considering changing my portfolio, I spend time thinking about options but often end up changing little or sometimes nothing.

Answering 3 to 5 shows a tendency toward status quo bias.

Endowment Bias

Bias type: Emotional

Preservers, especially those who inherit wealth, tend to assign a greater value to an investment they already own (such as a piece of real estate or an inherited stock position) than they would if they didn't possess that investment and had the potential to acquire it.

Simple diagnostic for endowment bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

I sometimes get attached to certain of my investments, which may cause me not to take action on them.

Answering 3 to 5 shows a tendency toward endowment bias.

Anchoring Bias

Bias type: Cognitive

Investors in general, and Preservers in particular, are often influenced by purchase points or arbitrary price levels, and tend to cling to these numbers when facing questions like "should I buy or sell this investment?" Suppose that the stock is down 25 percent from the high that it reached five months ago (\$75/share vs. \$100/share). Frequently, a Preserver client will resist selling until its price rebounds to the \$100/share it achieved five months ago.

Simple diagnostic for anchoring bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

When thinking about selling an investment, the price I paid is a big factor I consider before taking any action.

Answering 3 to 5 shows a tendency toward anchoring bias.

Mental Accounting Bias

Bias type: Cognitive

Many Preservers treat various sums of money differently based on where these sums are mentally categorized. For example, Preservers often segregate their assets into safe "buckets." If all of these assets are viewed as safe money, suboptimal overall portfolio returns are usually the result.